

exit positions in more volatile cryptoassets. They can even be used to provide on-chain exposure to the returns of an off-chain asset if the target asset is not native to the underlying blockchain (e.g., gold, stocks, exchange-traded funds [ETFs]). The mechanism by which the stablecoin maintains its peg varies by implementation. The three primary mechanisms are fiat-collateralized, crypto-collateralized, and non-collateralized stablecoins.

By far the largest class of stablecoins are fiat collateralized. These are backed by an off-chain reserve of the target asset. Usually they are custodied by an external entity or group of entities that undergo routine audits to verify the collateral's existence. The largest fiat-collateralized stablecoin is Tether⁵ (USDT) with a market capitalization of \$62 billion, making it the third largest cryptocurrency behind Bitcoin and Ethereum at time of writing. Tether also has the highest trading volume of any cryptocurrency but is not audited.⁶ The second largest is USDC,⁷ and its holdings of USD are regularly audited. USDC is redeemable 1:1 for USD and vice versa for no fee on Coinbase's exchange. USDT and USDC are very popular to integrate into DeFi protocols as demand for stablecoin investment opportunities is high. There is an inherent risk to these tokens, however, as they are centrally controlled and maintain the right to blacklist accounts.⁸

The second largest class of stablecoins are crypto-collateralized, meaning they are backed by an overcollateralized amount of another cryptocurrency. Their value can be